

because this case was already pending.

Specifically, plaintiff filed this action for medical malpractice on November 5, 2025, after attempting to serve defendants at the same address where plaintiff had successfully served the Senior Principal Claims Administrator with his notice of intent to sue. Entry to the “legal department” was denied and the facilities representative who received plaintiff’s counsel was unwilling to accept service of the arbitration demand. Accordingly, that same day, plaintiff’s counsel inserted a recounting of these events into the complaint under the title, “WAIVER OF ARBITRATION,” and proceeded to file suit in this Court. (See Complaint, ¶¶22-26.) Counsel also emailed the demand for arbitration to Kaiser that same day.

On December 30, 2025, defendants answered the complaint and on February 25, 2026, they filed this motion to compel arbitration, which is supported by a document entitled “petition,” the notice of motion and amended notices, a memorandum of points and authorities, and seven declarations (Ana B. Kimoto, Brady Hauswirth, Eric Carlile, Mayisha Woods, Colin S. Crabb, Justin D. Muro, and Yvonne M. Pierrou).

Notably, the filed Declaration of Colin S. Crabb is redacted and an unredacted copy has been lodged. California Rules of Court, Rule 2.551 (b)(1) provides that “[a] party requesting that a record be filed under seal must file a motion or an application for an order sealing the record. The motion or application must be accompanied by a memorandum and a declaration containing facts sufficient to justify the sealing.” Here, no motion to seal has been filed. Accordingly, the Court has not considered the contents of any document outside the public record, but declines to allow the filing of a document under seal without the requisite motion.

Plaintiff, Brandon Woodard, has filed a limited opposition to the motion and points out that both sides are currently actively engaged in arbitration. He also points out that he unsuccessfully attempted to serve the arbitration demand on the same day as this action was filed, and that the Office of the Independent Administrator has since accepted the demand.

Kaiser replies by citing the statute at issue, Code of Civil Procedure, § 1281.2. That section states, in pertinent part:

On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy *and that a party to the agreement refuses to arbitrate that controversy*, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that:

- (a) The right to compel arbitration has been waived by the petitioner; or
- (b) Grounds exist for rescission of the agreement.

(Code Civ. Proc., § 1281.2, emphasis added.)

Here, plaintiff has sufficiently shown that he does not refuse to arbitrate, at least at this point in time.

Accordingly, **the Court stays this action and continues the hearing on this motion to April 8, 2027 at 8:30 a.m. in this Department** for a status update on arbitration. Parties shall appear (Zoom permitted) to update the Court regarding the status of arbitration.

20. 9:00 AM CASE NUMBER: C26-00089
CASE NAME: AARON GUION VS. WATERTON RESIDENTIAL, L.L.C.
*MOTION/PETITION TO COMPEL ARBITRATION
FILED BY: WATERTON RESIDENTIAL, L.L.C.
TENTATIVE RULING:

Defendant Waterton Residential, LLC's motion to compel arbitration is **denied**.

Plaintiff filed a class action and PAGA complaint for various wage and hour claims against his employer Waterton Residential. Defendant Waterton Residential filed this motion to compel arbitration.

In its moving papers, Defendant provided an arbitration agreement that included Plaintiff's signature. (Tovar dec.) Plaintiff does not contest that he signed the agreement. In his opposition, Plaintiff focuses exclusively on unconscionability.

Once the existence of an arbitration agreement is established, the burden is on the party opposing arbitration to prove a defense to its enforcement. (*Alvarez v. Altamed Health Services Corp.* (2021) 60 Cal.App.5th 572, 580.) To invalidate the arbitration agreement on the grounds of unconscionability, which is what Plaintiff claims here, Plaintiff is required to show that the agreement is both procedurally and substantively unconscionable. (See *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114.) The more substantively unconscionable the arbitration agreement is, the less evidence of procedural unconscionability is required to render it unenforceable, and vice versa. (*Id.*)

Procedural Unconscionability

"Procedural unconscionability 'addresses the circumstances of contract negotiation and formation, focusing on oppression or surprise due to unequal bargaining power.' [Citation.]" This element is generally established by showing the agreement is a contract of adhesion, i.e., a 'standardized contract which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.' [Citation.] Adhesion contracts are subject to scrutiny because they are 'not the result of freedom or equality of bargaining.' [Citation.] However, they remain valid and enforceable unless the resisting party can also show that one or more of the contract's terms is substantively unconscionable or otherwise invalid." (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 492-493.)

"[A]lthough adhesion alone generally indicates only a low degree of procedural unconscionability, the potential for overreaching in the employment context warrants close scrutiny of the contract's terms." (*Id.* at 494.)

Here, Plaintiff points to language in the arbitration clause that states the arbitration

agreement is a condition of employment. (Agreement p. 1.) Plaintiff provides no additional evidence addressing procedural unconscionability.

The Court finds that there is some procedural unconscionability here.

Claims Cover by the Agreement

Plaintiff argues that the scope of the arbitration agreement requires Plaintiff to arbitrate issues outside of employment and is therefore, unconscionable.

In *Cook v. University of Southern California* (2024) 102 Cal.App.5th 312, the court held that the scope of arbitration applied to more than employment related disputes and was unconscionable. (*Id.* at 325.) There, the arbitration clause required plaintiff to arbitrate “all claims, whether or not arising out of Employee's University employment, remuneration or termination, that Employee may have against the University or any of its related entities, including but not limited to faculty practice plans, or its or their officers, trustees, administrators, employees or agents, in their capacity as such or otherwise; and all claims that the University may have against Employee.” (*Id.* at 321.) The court held that the scope required plaintiff to arbitrate claims outside of her employment and the employer provided no justification for that requirement. (*Id.* at 324-325.)

In *Ayala-Ventura v. Superior Court* (2026) 119 Cal.App.5th 241 the court looked at an arbitration agreement with a broadly worded scope and found that it was not unconscionable. (*Id.* at 256.) There, the agreement applied to “all claims, disputes, and/or controversies (collectively ‘claims’), whether or not arising out of [Ayala-Ventura]’s employment or the termination of employment, that Company may have against [Ayala-Ventura] or that [Ayala-Ventura] may have against Company or against its employees or agents in their capacity as employees or agents.” (*Id.* at 255.) The court found that the language was ambiguous and construed the scope to apply only to employment-related claims because such construction rendered the agreement enforceable. (*Id.* at 256.)

Here, the arbitration agreement applies to “any and all claims that could be brought in a court of law, including, but not limited to, all claims that arise out of your employment with the Company, except for those claims excluded in paragraph B below. This Agreement applies to all disputes involving legally protected rights (e.g., claims based on federal, state and/or local antidiscrimination laws, claims based on public policy, common law rights, tort, contract, etc.) ...” (Agreement, p. 2, section A) The agreement excludes worker’s compensation benefits, unemployment compensation and claims based on the company’s pension or welfare benefit plans. (Agreement, p. 2, section B.)

Here, the arbitration agreement is narrower than the ones in *Cook* and *Ayala-Ventura* as it does not specifically include non-employment related claims. The scope of the arbitration agreement is somewhat ambiguous, however, and it could be read as applying to employment-related claims or applying to all claims, whether or not they arise from employment.

Reading the agreement in its entirety, it shows that the parties intended to arbitrate employment-related claims. The agreement states that the arbitration “shall be conducted pursuant to the AAA’s Employment Arbitration Rules”. (Agreement p.2, section D.) Further, the agreement contemplates arbitration if the parties cannot resolve a dispute using the Company’s complaint procedure found in its Handbook. (Agreement p. 1) While the Court has not seen the Company’s handbook, this reference suggests that arbitration would relate to employment disputes. Finally, the Court notes that it should construe arbitration clauses, if reasonable, in a manner that renders it lawful. (*Ayala-Ventura, supra*, 119 Cal.App.5th at 256.)

The Court finds that while the scope of the arbitration clause is ambiguous, it should be interpreted as applying to employment-related claims and as such, it is not unconscionable in scope.

Mutuality

Plaintiff argues that the agreement lacks mutuality because Plaintiff is required to arbitrate claims with Waterton, but also with its parent companies, subsidiaries, agents, owners, officers and insurers.

“Agreements to arbitrate must contain at least ‘a modicum of bilaterality’ to avoid unconscionability. [Citation.] When only the weaker party’s claims are subject to arbitration, and there is no reasonable justification for that lack of symmetry, the agreement lacks the requisite degree of mutuality. [Citations.]” (*Abramson v. Juniper Networks, Inc.* (2004) 115 Cal.App.4th 638, 657.)

In *Cook*, the court found that a similar clause lacked mutuality. (*Cook, supra*, 102 Cal.App.5th at 328.) The arbitration agreement applied to the employer, USC, but also to “any of its related entities, including but not limited to faculty practice plans, or its or their officers, trustees, administrators, employees or agents, in their capacity as such or otherwise.” (*Id.* at 326.) In finding a lack of mutuality, the court considered the broad nature of the arbitration clause which required Plaintiff to arbitrate claims unrelated to her employment. (*Id.* at 327.) The court also noted that it would be difficult for the plaintiff to enforce the clause against the third-party entities, whereas it would be easy for the third parties to enforce the clause against Plaintiff. (*Id.* at 327-328.)

In *Ayala-Ventura* the arbitration clause defined the company to include “all of its related entities, parents, and subsidiaries.” (*Ayala-Ventura, supra*, 119 Cal.App.5th 241 at 258.) Plaintiff argued that she would be required to arbitrate her claims against the company and its employees and agents (based upon the claims subject to arbitration), but plaintiff would not be able to use the arbitration agreement to force employees and agents to arbitrate their claims against her. (*Ibid.*) The court distinguished *Cook* and noted that in *Cook* the employee was required to arbitrate any claims against individuals even where they were not acting in an official capacity. Whereas in *Ayala-Ventura*, the plaintiff would only be required to arbitrate claims against other employees or agents that were related to her employment. (*Ibid.*) The court found that the clause had a modicum of bilaterality. (*Id.*

at 529.)

Arbitration agreements that include any claims arising from or related to the employment relationship are generally found not to be unconscionable. (See, *Little v. Auto Stiegler, Inc.* (2003) 29 Cal.4th 1064, 1069; 1075 fn.1.)

Here, the agreement states that it applies to the following entities: "Waterton Residential, LLC, and Pathway Management, LLC, including their parent companies, subsidiaries, affiliates, agents, owners, officers, successors, transferees, assigns, and insurers, (collectively, the 'Company')"

(Agreement, pg. 1, par. 1.) Thus, when the agreement states that "You and the Company" agree to arbitration, it applies to many more entities than just Plaintiff and Waterton.

As discussed above, the Court interprets the arbitration agreement as applying to employment-related claims. Further, the Court finds that, similar *Ayala-Ventura*, requiring Plaintiff to arbitrate employment-related claims with Waterton's entities and employees contains a modicum of bilaterality and is not unconscionable.

PAGA Waiver

Plaintiff argues that the arbitration agreement included an illegal waiver of PAGA claims.

An employee's right to bring a PAGA action is unwaivable and "a prohibition of *representative* claims frustrates the PAGA's objectives." (*Iskanian [v. CLS Transportation Los Angeles, LLC]* (2014)] 59 Cal.4th [348,] 383.)... In *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 644–645... the United States Supreme Court found a different part of *Iskanian's* interpretation of PAGA preempted by the FAA. But the United States Supreme Court did not disturb *Iskanian's* holding that a blanket PAGA waiver is unconscionable under California law. Rather, the United States Supreme Court found that, insofar as *Iskanian* invalidated a provision for being 'a wholesale waiver of PAGA claims[,] ... that aspect of *Iskanian* is not preempted by the FAA.' (*Viking River Cruises, supra*, 596 U.S. at p. 662.)" (*Alberto v. Cambrian Homecare* (2023) 91 Cal.App.5th 482, 494-495.)

In *Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104, the California Supreme Court clarified that "a plaintiff who files a PAGA action with individual and non-individual claims does not lose standing to litigate the non-individual claims in court simply because the individual claims have been ordered to arbitration." (*Id.* at 1128; see also, *Hasty v. American Automobile Assn. etc.* (2023) 98 Cal.App.5th 1041, 1063 [a ban on *all* representative actions remains unconscionable].)

Here, the agreement states that "[e]xcept where prohibited by law, covered disputes must be brought on an individual basis only; and arbitration on an individual basis is the exclusive remedy. The arbitrator shall not have authority to hear claims on a multi-plaintiff, class, collective or representative action basis. *You agree not to participate as a member or representative* in any multi-plaintiff, class, collective or *representative action* against the Company; and you further agree you are not entitled to

any recovery in such an action in any forum.” (Agreement p. 2, section C (emphasis added).)

Defendant argues that the PAGA waiver is enforceable because the clause states “[e]xcept where prohibited by law”. The Court is not convinced that such a clause “saves” an otherwise illegal PAGA waiver and Defendant has cited no law to support this argument.

The Court finds that the agreement improperly prohibits an employee from participating in a representative action, such as a PAGA claim, against the company. This clause is unconscionable.

Indefinite Duration

Plaintiff argues that the agreement is unconscionable because it has an unlimited duration. Here, the clause states that “This Agreement will survive the termination of your employment with the Company.” (Agreement, pg. 4, par. 3.)

In *Cook, supra*, 102 Cal.App.5th at 325 the court affirmed a trial court’s finding that a similar clause was unconscionable. There, the clause stated that it “shall survive the termination of Employee’s employment, and may only be revoked or modified in a written document that expressly refers to the ‘Agreement to Arbitrate Claims’ and is signed by the President of the University.” (*Id.* at 325.) The court explained that the provision specifically provides that it will survive unless and until the employer specifically terminates the agreement in a writing. (*Id.* at 326.)

Defendant argues that “arbitration agreements that do not specify a term of duration are terminable at will after a reasonable time has elapsed. [Citations.]” (*Reigelsperger v. Siller* (2007) 40 Cal.4th 574, 580.) In *Reigelsperge* agreement was intended to apply, not only to the “entire course of treatment for my present condition,” but to “any future condition(s) for which I seek treatment.” (*Id.* at 580.) The court held that this language required plaintiff to arbitrate his claim for negligent treatment that occurred several years after he signed the form. (*Ibid.*) The court did not consider unconscionability.

Here, unlike in *Reigelsperge*, the agreement includes a term of duration, stating that the agreement “survives the employee’s termination of employment”. While the agreement does not state that it can only be terminated by written agreement, as was the case in *Cook*, this agreement still includes an open-ended term of duration which the Court finds is unconscionable.

Costs of Arbitration

Plaintiff argues that the arbitration agreement requires Plaintiff to pay the case management fee, which is unconscionable. In the employment context, the employer must bear the costs unique to arbitration. (*Armendariz, supra*, 24 Cal.4th at 113.)

Here, the agreement states that “The party seeking arbitration will be responsible for paying the initial filing or case management fee. The remaining fees for the arbitration will be paid by the

Company.” (Agreement, pg. 3.)

The AAA employment / workplace fee schedule states that the individual’s filing fee is capped at \$350. Whereas the company pays a higher filing fee, along with a case management fee of \$750. (Otkupman dec. ex. 1.)

The payment clause does not require Plaintiff to pay a case management fee, even if Plaintiff is the one seeking arbitration. Rather, the clause would require Plaintiff to pay a filing fee *or* a case management fee, but the AAA rules do not require Plaintiff to pay a case management fee. Whether the individual or the company seeks arbitration, the company is responsible for paying the case management fee. Thus, Plaintiff is not required to pay the case management fee and the Court finds that this clause is not unconscionable.

Severance

Defendant argues that any unconscionable clause should be severed. The Agreement provides that “If any provision of this Agreement is determined to be void or otherwise unenforceable... such determination shall not affect the validity of the remainder of this Agreement.” (Agreement p. 4.)

The Court finds that the unlimited duration and the PAGA waiver are unconscionable and unenforceable. The next question is whether the unenforceable clauses should be severed from the agreement.

“ ‘ ‘ ‘In deciding whether to sever terms rather than to preclude enforcement of the provision altogether, the overarching inquiry is whether the interests of justice would be furthered by severance; the strong preference is to sever *unless* the agreement is ‘permeated’ by unconscionability.’ ... An agreement to arbitrate is considered ‘permeated’ by unconscionability where it contains more than one unconscionable provision.” ‘ [Citation.]’ (*Hasty, supra*, 98 Cal.App.5th 1041, 1064.) Multiple unconscionable clauses “indicate a systematic effort to impose arbitration on an employee not simply as an alternative to litigation, but as an inferior forum that works to the employer's advantage.” (*Armendariz, supra*, 24 Cal.4th at 124.) “Severance may be properly denied when the agreement contains more than one unconscionable provision, and ‘ “there is no single provision a court can strike or restrict in order to remove the unconscionable taint from the agreement.” [Citations.]’ [Citations.]” (*Cook, supra*, 102 Cal.App.5th at 329.)

Here, the Court finds that there are two unconscionable clauses, including the PAGA waiver which raises important public policy concerns. The Court finds that severance is not appropriate in this case.